Contract Risk & Compliance Analysis Report

Contract Clause

If either Party breaches any material obligation under this Agreement, the non-defaulting Party shall be entitled to recover all losses and damages naturally arising from such breach in accordance with applicable law.

LegalBERT Risk Signal

Prediction: **Baseline**

Confidence: 99.76%

Class Scores

Baseline: 99.76%

Low: 0.01%

Medium: 0.20%

High: 0.03%

Retrieved Indian Law

Section 73

Compensation for loss or damage caused by breach of contract

Similarity Score: 0.6146

Section 43

Any one of joint promisors may be compelled to perform

Similarity Score: 0.5763

Section 132

Liability of two persons, primarily liable, not affected by arrangement between them that one shall be surety on other’s default

Similarity Score: 0.5242

Section 74

Compensation for breach of contract where penalty stipulated for

Similarity Score: 0.5157

Section 54

Effect of default as to that promise which should be first performed, in contract consisting of reciprocal promises

Similarity Score: 0.4978

Grounded Local LLM Analysis

Assessed Risk: **Medium**

Agreement with ML: NO

Evidence Sufficient: YES

Human Review Required: YES

Summary

The clause allows for recovery of losses and damages resulting from a breach, which is generally considered a low-risk scenario.

Risk Reasoning

The clause provides a remedy for the non-defaulting party to recover all losses and damages arising from a breach. This typically indicates that the contract is not inherently risky or illegal under Indian law.

Contractual Concern

The clause does not address potential risks related to criminal conduct, guarantee, bailment, pledge, or other specialized relationships.

Suggested Mitigation

Not provided.

Disclaimer

This report is generated automatically using a hybrid AI pipeline combining LegalBERT, Retrieval-Augmented Generation (RAG), and a local Large Language Model. It is intended for decision support only and does not constitute legal advice.